



***UNAUDITED CONDENSED
FINANCIAL STATEMENTS
JUNE 2021***

I&M GROUP PLC (FORMERLY I&M HOLDINGS PLC)
STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE PERIOD ENDED 30 JUNE 2021	COMPANY			GROUP		
	UNAUDITED	AUDITED	UNAUDITED	UNAUDITED	AUDITED	UNAUDITED
	30-Jun 2021 KShs '000'	31-Dec 2020 KShs '000'	30-Jun 2020 KShs '000'	30-Jun 2021 KShs '000'	31-Dec 2020 KShs '000'	30-Jun 2020 KShs '000'
Interest income	16,033	29,175	20,396	14,635,382	27,848,575	13,116,189
Interest expense	-	-	-	(5,769,826)	(12,248,980)	(6,196,884)
Net interest income	16,033	29,175	20,396	8,865,556	15,599,595	6,919,305
Fee and commission income	-	-	-	2,205,637	4,170,303	2,059,152
Fee and commission expense	-	-	-	(209,067)	(327,639)	(165,932)
Net fee and commission income	-	-	-	1,996,570	3,842,664	1,893,220
Revenue	16,033	29,175	20,396	10,862,126	19,442,259	8,812,525
Net trading income	-	-	-	1,530,306	3,870,331	2,019,672
Other operating income	6,778,876	3,377,318	2,342,000	207,860	597,119	134,230
Net operating income before change in expected credit losses and other credit impairment charges	6,794,909	3,406,493	2,362,396	12,600,292	23,909,709	10,966,427
Change in expected credit losses and other credit impairment charges	-	-	-	(1,052,772)	(2,472,836)	(1,030,628)
Net operating income	6,794,909	3,406,493	2,362,396	11,547,520	21,436,873	9,935,799
Staff costs	-	-	-	(2,765,439)	(4,555,444)	(2,357,615)
Premises and equipment costs	-	-	-	(253,382)	(428,732)	(218,736)
Other expenses	(17,056)	(31,102)	(13,820)	(2,017,202)	(3,295,865)	(1,633,303)
Depreciation and amortisation expenses	-	-	-	(909,960)	(1,525,866)	(649,264)
Operating expenses	(17,056)	(31,102)	(13,820)	(5,945,983)	(9,805,907)	(4,858,918)
Operating profit	6,777,853	3,375,391	2,348,576	5,601,537	11,630,966	5,076,881
Share of profit of Joint Venture	-	-	-	267,923	(678,962)	(579,546)
Profit before income tax	6,777,853	3,375,391	2,348,576	5,869,460	10,952,004	4,497,335
Income tax expense	-	(4,805)	(5,666)	(1,619,807)	(2,539,446)	(1,307,267)
Profit for the period	6,777,853	3,370,586	2,342,910	4,249,653	8,412,558	3,190,068
Other comprehensive income	(155)	801	(18)	(813,476)	596,385	157,808
Total comprehensive income for the period	6,777,698	3,371,387	2,342,892	3,436,177	9,008,943	3,347,876
Profit attributable to:						
Equity holders of the company	6,777,853	3,370,586	2,342,910	4,033,987	8,073,855	3,050,947
Non controlling interest	-	-	-	215,666	338,703	139,121
	6,777,853	3,370,586	2,342,910	4,249,653	8,412,558	3,190,068
Total comprehensive income attributable to:						
Equity holders of the company	6,777,698	3,371,387	2,342,892	3,282,416	8,498,802	3,025,170
Non controlling interest	-	-	-	153,761	510,141	322,706
	6,777,698	3,371,387	2,342,892	3,436,177	9,008,943	3,347,876
Basic and diluted earnings Per share - (KShs)	4.10	2.04	1.42	2.44	4.88	1.85
Dividends Per share - (KShs) - Final	-	2.25	-	-	2.25	-

I&M GROUP PLC (FORMERLY I&M HOLDINGS PLC)
STATEMENT OF FINANCIAL POSITION

AS AT 30 JUNE 2021	COMPANY			GROUP		
	UNAUDITED 30-Jun 2021 KShs '000'	AUDITED 31-Dec 2020 KShs '000'	UNAUDITED 30-Jun 2020 KShs '000'	UNAUDITED 30-Jun 2021 KShs '000'	AUDITED 31-Dec 2020 KShs '000'	UNAUDITED 30-Jun 2020 KShs '000'
ASSETS						
Cash and balances with central banks	-	-	-	21,527,156	19,403,419	19,067,868
Items in the course of collection	-	-	-	792,827	622,994	629,579
Loans and advances to banks	-	-	-	17,016,490	18,335,440	35,245,604
Loans and advances to customers	-	-	-	204,457,979	187,391,266	184,564,775
Financial assets at fair value through profit or loss (FVTPL)	-	-	-	13,611,659	11,869,403	16,871,845
Financial assets measured at fair value through other comprehensive income (FVOCI)	28,175	28,392	27,609	49,117,805	42,477,252	17,994,515
Other financial assets at amortised cost	-	-	-	40,818,128	47,364,625	37,371,893
Held for sale assets	-	-	-	1,225,219	1,057,056	-
Investment in Joint Venture	2,515,591	2,515,591	2,515,591	4,852,001	5,177,219	5,068,398
Investment in subsidiaries	30,308,402	26,151,882	25,662,294	-	-	-
Property and equipment	-	-	-	12,496,611	12,121,588	10,807,554
Intangible assets - Goodwill	-	-	-	3,138,244	3,155,449	3,149,099
Intangible assets - Software	-	-	-	2,651,294	2,436,493	2,298,405
Tax recoverable	6,177	4,369	-	962,238	133,588	1,492,656
Deferred tax asset	-	-	-	5,640,267	4,211,504	3,025,708
Due from group companies	1,202,305	446,059	51,254	-	-	-
Other assets	22,930	4,124	4,897	4,263,283	2,342,497	3,052,013
TOTAL ASSETS	34,083,580	29,150,417	28,261,645	382,571,201	358,099,793	340,639,912
LIABILITIES AND SHAREHOLDERS' EQUITY						
Liabilities						
Deposits from banks	-	-	-	8,669,921	6,762,835	9,465,958
Items in course of collection	-	-	-	897,149	261,363	748,740
Deposits from customers	-	-	-	276,755,255	262,681,402	252,483,719
Tax payable	-	-	3,746	534,774	155,863	495,445
Due to group companies	1,880,748	1,881,272	1,881,272	-	-	-
Other liabilities	102,705	84,324	220,301	6,999,665	5,402,428	5,399,898
Long term debt	-	-	-	9,103,953	10,317,827	5,357,614
Subordinated debt	-	-	-	9,525,134	4,454,936	4,618,893
	1,983,453	1,965,596	2,105,319	312,485,851	290,036,654	278,570,267
Shareholders' equity						
Share capital	1,653,621	826,811	826,811	1,653,621	826,811	826,811
Share premium	17,561,629	18,390,507	18,390,507	17,561,629	18,390,507	18,390,507
Retained earnings	12,884,270	7,966,741	6,939,065	40,361,241	39,610,553	33,399,587
Revaluation reserve	-	-	-	929,217	929,217	864,746
Fair value reserve	607	762	(57)	(199,935)	(36,599)	(240,929)
Translation reserve	-	-	-	(1,847,990)	(1,260,493)	(1,451,556)
Statutory credit risk reserve	-	-	-	7,550,766	5,867,908	7,056,021
Defined benefit reserve	-	-	-	(138,561)	(138,561)	(129,476)
Equity attributable to owners of the company	32,100,127	27,184,821	26,156,326	65,869,988	64,189,343	58,715,711
Non-controlling interest	-	-	-	4,215,362	3,873,796	3,353,934
TOTAL SHAREHOLDERS' EQUITY	32,100,127	27,184,821	26,156,326	70,085,350	68,063,139	62,069,645
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	34,083,580	29,150,417	28,261,645	382,571,201	358,099,793	340,639,912

I&M GROUP PLC (FORMERLY I&M HOLDINGS PLC)
UNAUDITED CONSOLIDATED STATEMENT OF CHANGES IN EQUITY AS AT 30 JUNE 2021

6 months period to 30 June 2021	Share capital Kshs '000'	Share premium Kshs '000'	Revaluation reserve Kshs '000'	Fair value Reserve Kshs '000'	Statutory loans reserve Kshs '000'	Retirement reserve Kshs '000'	Total reserve Kshs '000'	Retained earnings Kshs '000'	Translation reserve Kshs '000'	Total Kshs '000'	Non controlling interest Kshs '000'	Total Kshs '000'
At 1 January 2021	826,811	18,390,507	929,217	(36,599)	5,867,908	(138,561)	5,729,347	39,610,553	(1,260,493)	64,189,343	3,873,796	68,063,139
Net profit after tax	-	-	-	-	-	-	-	4,033,988	-	4,033,988	215,665	4,249,653
Other comprehensive income	-	-	-	(163,336)	1,682,858	-	1,682,858	(1,683,597)	(587,497)	(751,572)	(61,904)	(813,476)
Total comprehensive income for the period	-	-	-	(163,336)	1,682,858	-	1,682,858	2,350,391	(587,497)	3,282,416	153,761	3,436,177
Transactions with owners:												
Issue of bonus shares - I&M Group PLC	826,810	(826,810)	-	-	-	-	-	-	-	-	-	-
Other transactions	-	(2,068)	-	-	-	-	-	260,621	-	258,553	187,805	446,358
Dividends Paid	-	-	-	-	-	-	-	(1,860,324)	-	(1,860,324)	-	(1,860,324)
Total transactions with owners for the period	826,810	(828,878)	-	-	-	-	-	(1,599,703)	-	(1,601,771)	187,805	(1,413,966)
Balance as at 30 June 2021	1,653,621	17,561,629	929,217	(199,935)	7,550,766	(138,561)	7,412,205	40,361,241	(1,847,990)	65,869,988	4,215,362	70,085,350

For the year ended 31 December 2020	Share capital Kshs '000'	Share premium Kshs '000'	Revaluation reserve Kshs '000'	Fair value Reserve Kshs '000'	Statutory loans reserve Kshs '000'	Retirement reserve Kshs '000'	Total reserve Kshs '000'	Retained earnings Kshs '000'	Translation reserve Kshs '000'	Total Kshs '000'	Non controlling interest Kshs '000'	Total Kshs '000'
At 1 January 2020	826,811	18,390,507	875,985	(273,802)	5,518,392	(101,042)	5,417,350	33,918,324	(1,416,566)	57,738,609	3,123,564	60,862,173
Net profit after tax	-	-	-	-	-	-	-	8,073,855	-	8,073,855	338,703	8,412,558
Other comprehensive income	-	-	53,232	237,203	349,516	(37,519)	311,997	(333,558)	156,073	424,947	171,438	596,385
Total comprehensive income for the period	-	-	53,232	237,203	349,516	(37,519)	311,997	7,740,297	156,073	8,498,802	510,141	9,008,943
Transactions with owners:												
Other transactions	-	-	-	-	-	-	-	60,299	-	60,299	347,799	408,098
Dividends Paid	-	-	-	-	-	-	-	(2,108,367)	-	(2,108,367)	(107,708)	(2,216,075)
Total transactions with owners for the year	-	-	-	-	-	-	-	(2,048,068)	-	(2,048,068)	240,091	(1,807,977)
Balance as at 31 December 2020	826,811	18,390,507	929,217	(36,599)	5,867,908	(138,561)	5,729,347	39,610,553	(1,260,493)	64,189,343	3,873,796	68,063,139

6 months period to 30 June 2020	Share capital Kshs '000'	Share premium Kshs '000'	Revaluation reserve Kshs '000'	Fair value Reserve Kshs '000'	Statutory loans reserve Kshs '000'	Retirement reserve Kshs '000'	Total reserve Kshs '000'	Retained earnings Kshs '000'	Translation reserve Kshs '000'	Total Kshs '000'	Non controlling interest Kshs '000'	Total Kshs '000'
At 1 January 2020	826,811	18,390,507	875,985	(273,802)	5,518,392	(101,042)	5,417,350	33,918,324	(1,416,566)	57,738,609	3,123,564	60,862,173
Net profit after tax	-	-	-	-	-	-	-	3,050,947	-	3,050,947	139,121	3,190,068
Other comprehensive income	-	-	(11,239)	32,873	1,537,629	(28,434)	1,509,195	(1,521,616)	(34,990)	(25,777)	183,585	157,808
Total comprehensive income for the period	-	-	(11,239)	32,873	1,537,629	(28,434)	1,509,195	1,529,331	(34,990)	3,025,170	322,706	3,347,876
Transactions with owners:												
Other transactions	-	-	-	-	-	-	-	60,299	-	60,299	(60,299)	-
Dividends Paid	-	-	-	-	-	-	-	(2,108,367)	-	(2,108,367)	(32,037)	(2,140,404)
Total transactions with owners for the year	-	-	-	-	-	-	-	(2,048,068)	-	(2,048,068)	(92,336)	(2,140,404)
Balance as at 30 June 2020	826,811	18,390,507	864,746	(240,929)	7,056,021	(129,476)	6,926,545	33,399,587	(1,451,556)	58,715,711	3,353,934	62,069,645

I&M GROUP PLC (FORMERLY I&M HOLDINGS PLC)**STATEMENT OF CASH FLOWS****FOR THE PERIOD ENDED 30 JUNE 2021**

	COMPANY		GROUP	
	UNAUDITED 30-Jun 2021 KShs '000'	AUDITED 31-Dec 2020 KShs '000'	UNAUDITED 30-Jun 2021 KShs '000'	AUDITED 31-Dec 2020 KShs '000'
Net cash flows generated from/ (used in) operating activities	6,775,158	3,369,737	(4,262,501)	(13,633,979)
Cash flows used in investing activities				
Purchase of property and equipment (excluding right of use assets)	-	-	(744,448)	(2,300,649)
Purchase of intangible assets	-	-	(547,732)	(896,157)
Additional investment in joint venture	-	(405,000)	-	(405,000)
Proceeds from disposal of property and equipment	-	-	214,253	(45,803)
Acquisition of Orient Bank Limited	(4,156,520)	-	-	-
Additional Investment in I&M Bank (Rwanda) PLC	-	(489,588)	-	-
Net cash used in investing activities	(4,156,520)	(894,588)	(1,077,927)	(3,647,609)
Cash flows from financing activities				
Net outflows from term subordinated debt	-	-	5,070,198	(190,119)
Dividend paid to shareholders of the company	(1,860,324)	(2,108,367)	(1,860,324)	(2,108,367)
Dividend paid to non-controlling interests	-	-	-	(107,708)
Non-Controlling Interest	-	-	426,279	-
Rights issue - I&M Bank (T) Limited and I&M Bank (Rwanda) PLC	-	-	22,147	408,098
Payment of lease liabilities	-	-	115,944	(397,328)
Capital restructuring costs	(2,068)	-	(2,068)	-
Net cash (used in)/ generated from financing activities	(1,862,392)	(2,108,367)	3,772,176	(2,395,424)
Net increase / (decrease) in cash and cash equivalents	756,246	366,782	(1,568,252)	(19,677,012)
Cash and cash equivalents at start of the year	446,059	79,277	21,472,404	41,149,416
Cash and cash equivalents at end of the year	1,202,305	446,059	19,904,152	21,472,404

OPERATING SEGMENTS

The Group operations are within five geographical segments, Kenya, Tanzania, Rwanda, Uganda and Mauritius. The table below contains segmental information for the period ended 30 June 2021.

	KENYA KShs'000	TANZANIA KShs'000	RWANDA KShs'000	MAURITIUS KShs'000	UGANDA KShs'000	ELIMINATION KShs'000	TOTAL KShs'000
30-Jun-21							
Net interest income	6,755,522	536,888	1,447,535	-	125,611	-	8,865,556
Net fee commission and other income	3,179,269	212,176	325,339	-	92,454	(74,502)	3,734,736
Results from joint venture	-	-	-	267,923	-	-	267,923
Operating income	9,934,791	749,064	1,772,874	267,923	218,065	(74,502)	12,868,215
Operating expenses	(3,563,141)	(492,261)	(884,487)	(3,366)	(167,270)	74,502	(5,036,023)
Depreciation and Amortisation	(554,901)	(76,542)	(178,050)	-	(100,467)	-	(909,960)
Net impairment losses on loans and advances	(1,265,933)	(13,232)	(145,961)	-	372,354	-	(1,052,772)
Operating expenses	(5,383,975)	(582,035)	(1,208,498)	(3,366)	104,617	74,502	(6,998,755)
Profit before tax	4,550,816	167,029	564,376	264,557	322,682	-	5,869,460
Profit after tax	3,216,859	116,921	366,844	264,557	284,472	-	4,249,653
Loans and advances to customers	157,808,507	16,667,878	22,559,579	-	7,422,015	-	204,457,979
Deposits from customers	212,556,291	18,688,681	27,249,445	-	18,260,838	-	276,755,255
Total assets	321,591,349	26,273,932	45,940,474	4,363,987	23,540,394	(39,138,935)	382,571,201
Total liabilities	232,625,026	21,893,633	39,727,286	8,620	18,980,822	(749,536)	312,485,851

OPERATING SEGMENTS (Continued)

	KENYA KShs'000	TANZANIA KShs'000	RWANDA KShs'000	MAURITIUS KShs'000	UGANDA KShs'000	ELIMINATION KShs'000	TOTAL KShs'000
31-Dec-20							
Net interest income	11,864,220	1,290,459	2,444,916	-	-	-	15,599,595
Net fee commission and other income	7,001,471	417,217	957,595	-	6,970	(73,139)	8,310,114
Results from joint venture	-	-	-	(678,962)	-	-	(678,962)
Operating income	18,865,691	1,707,676	3,402,511	(678,962)	6,970	(73,139)	23,230,747
Operating expenses	(5,694,512)	(910,269)	(1,604,419)	(8,087)	(3,072)	(59,682)	(8,280,041)
Depreciation and Amortisation	(1,027,297)	(159,424)	(339,131)	-	(14)	-	(1,525,866)
Net impairment losses on loans and advances	(1,616,646)	(252,283)	(603,907)	-	-	-	(2,472,836)
Operating expenses	(8,338,455)	(1,321,976)	(2,547,457)	(8,087)	(3,086)	(59,682)	(12,278,743)
Profit before tax	10,527,236	385,700	855,054	(687,049)	3,884	(132,821)	10,952,004
Profit after tax	8,488,500	274,631	560,678	(687,048)	2,718	(226,921)	8,412,558
Loans and advances to customers	149,675,064	15,101,900	22,614,302	-	-	-	187,391,266
Deposits from customers	218,152,864	17,153,294	27,375,244	-	-	-	262,681,402
Total assets	317,738,409	24,192,273	45,794,544	4,687,258	9,377	(34,322,068)	358,099,793
Total liabilities	230,653,849	20,206,550	39,791,712	3,332	1,674	(620,463)	290,036,654

OPERATING SEGMENTS (Continued)

	KENYA KShs'000	TANZANIA KShs'000	RWANDA KShs'000	MAURITIUS KShs'000	UGANDA KShs'000	ELIMINATION KShs'000	TOTAL KShs'000
30-Jun-20							
Net interest income	5,158,574	540,113	1,220,618	-	-	-	6,919,305
Net fee commission and other income	3,591,492	209,273	298,431	-	2,814	(54,888)	4,047,122
Results from joint venture	-	-	-	(579,546)	-	-	(579,546)
Operating income	8,750,066	749,386	1,519,049	(579,546)	2,814	(54,888)	10,386,881
Operating expenses	(2,971,335)	(455,110)	(832,026)	-	(1,272)	50,089	(4,209,654)
Depreciation and Amortisation	(408,811)	(67,803)	(172,643)	-	(7)	-	(649,264)
Net impairment losses on loans and advances	(822,042)	(60,690)	(147,798)	-	(98)	-	(1,030,628)
Operating expenses	(4,202,188)	(583,603)	(1,152,467)	-	(1,377)	50,089	(5,889,546)
Profit before tax	4,547,878	165,783	366,582	(579,546)	1,437	(4,799)	4,497,335
Profit after tax	3,418,468	116,230	238,278	(584,344)	1,436	-	3,190,068
Loans and advances to customers	146,130,862	15,393,456	23,040,457	-	-	-	184,564,775
Deposits from customers	214,092,970	15,061,847	23,328,902	-	-	-	252,483,719
Total assets	306,310,032	24,043,156	39,774,481	4,578,953	7,859	(34,074,569)	340,639,912
Total liabilities	224,639,479	20,306,462	34,740,404	570	1,669	(1,118,317)	278,570,267

I&M GROUP PLC (FORMERLY I&M HOLDINGS PLC)
NOTES TO UNAUDITED CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

1 REPORTING ENTITY

I&M Group PLC (the "Company") (Formerly I&M Holdings PLC), is a non-operating holding company licensed by the Central Bank of Kenya (CBK) under the Kenyan Banking Act (Chapter 488). The Company is incorporated in Kenya under the Kenyan Companies Act, 2015 and comprises banking subsidiaries in Kenya, Tanzania, Rwanda, Uganda and a joint venture in Mauritius and non banking Subsidiaries in Kenya, Mauritius and Uganda. The consolidated financial statements as at 30 June 2021 comprise of entities in Kenya – I&M Bank Limited, I&M Capital Limited, I&M Realty Limited, I&M Burbidge Capital Limited, Giro Limited, I&M Bancassurance Intermediary Limited (formerly I&M Insurance Agency Limited) and Youjays Insurance Brokers Limited; Tanzania - I&M Bank (T) Limited; Rwanda - I&M Bank (Rwanda) Plc, Mauritius - BCR Investment Company Limited and a joint venture - Bank One Limited; and Uganda -Orient Bank Limited, I&M Burbidge Capital (U) Limited (together referred to as the "Group"). The address of its registered office is as follows:

1 Park Avenue
1st Parklands Avenue
P O Box 30238 - 00100
Nairobi

The Company owns the following entities directly:

- (i) Bank One Limited – 50% interest in Bank One Limited, a joint venture in a bank licensed in Mauritius;
- (ii) I&M Bank LIMITED – 100% shareholding;
- (iii) I&M Capital Limited – 100% Shareholding;
- (iv) I&M Realty Limited – 100% Shareholding;
- (v) BCR Investment Company Limited – 100% Shareholding;
- (vi) I&M Burbidge Capital Limited – 65% Shareholding;
- (vii) Giro Limited – 100% Shareholding, and;
- (vii) Orient Bank Limited – 90% Shareholding.

Through I&M Bank LIMITED, the Company has:

- (i) 77.80% (2020 - 70.38%) shareholding in I&M Bank (T) Limited;
- (ii) 100% shareholding in I&M Bancassurance Intermediary Limited (formerly I&M Insurance Agency Limited) (incorporated on 23 July 2014),
- (iii) 100% shareholding in Youjays Insurance Brokers Limited (effective 31 March 2018) through I&M Bancassurance Intermediary Limited (formerly I&M Insurance Agency Limited).

Through BCR Investment Company Limited, the Company has 54.47% effective shareholding in I&M Bank (Rwanda) Plc as BCR Investment Company Limited (Mauritius) owns 54.47% shareholding in I&M Bank (Rwanda) Plc;

Through I&M Burbidge Capital Limited, the Company has 65% effective shareholding in I&M Burbidge Capital (U) Limited as the Company is 100% owned by I&M Burbidge Capital Limited.

2 BASIS OF PREPARATION

The principal accounting policies adopted in these consolidated quarter one financial statements are consistent with those used in the Audited Annual Financial Statements for the year ended 31 December 2020.

These half year financial statements should be read together with the 2020 Audited Annual Financial Statements.